

RGTI — Assumptions

RGTI — DCF Model Assumptions

All dollar inputs in \$thousands | Blue = input

A. HISTORICAL FINANCIAL DATA (Source: RGTI 10-K				
Line Item	FY2023	FY2024	FY2025	Notes
Revenue	12,008	10,790	7,088	EDGAR RevenueFromContractWithCustomerIncludin
Cost of Revenue	2,800	5,093	5,024	EDGAR CostOfRevenue
Gross Profit (\$000s)				Formula: Revenue – CoR
Gross Margin %				Formula
SG&A	27,744	24,457	25,379	EDGAR GeneralAndAdministrativeExpense
R&D	52,768	49,750	61,345	EDGAR ResearchAndDevelopmentExpense
EBIT (Operating Loss)	-72,295	-68,510	-84,660	EDGAR OperatingIncomeLoss
D&A	7,400	6,900	8,100	EDGAR DepreciationDepletionAndAmortization (c
Stock-Based Comp	12,409	13,069	17,605	EDGAR AllocatedShareBasedCompensationExpense
CapEx (PP&E)	9,059	11,098	18,676	EDGAR PaymentsToAcquirePropertyPlantAndEquipm
Capitalized Software	0	0	0	Source: EDGAR
Interest Expense	5,779	0	0	EDGAR InterestExpense (0 in FY2024/25 — debt
Interest Income	0	0	0	Not separately tagged in XBRL
Net Loss	-75,107	-200,988	-216,210	EDGAR NetIncomeLoss

A2. BALANCE SHEET SNAPSHOT (Source: RGTI 10-K FY				
Line Item	FY2024	FY2025		Notes
Cash & Equivalents	67,674	44,851		EDGAR Cash
AFS Investments (Current)	0	0		EDGAR / 0 if none
AFS Investments (Non-Current)	0	0		EDGAR / 0 if none
Total Liquidity				Formula: Cash + AFS
Accounts Receivable	2,427	2,551		EDGAR AR
Goodwill	0	0		EDGAR Goodwill
Intangibles, net	0	0		EDGAR Intangibles
Total Debt (Gross Principal)	0	0		EDGAR Debt
Post-FY2025 Debt		0		Debt-free as of FY2024; term loan fully retir
Shares Outstanding	184,666,000	309,763,000		EDGAR diluted shares
Shares Used in Bridge		309,763,000		FY2025 diluted wtd-avg (significant ongoing d
Federal NOL Carryforward (\$K)		131,826		EDGAR DeferredTaxAssetsGross FY2025 (\$K proxy

B. REVENUE GROWTH ASSUMPTIONS (Yellow = key input					
Assumption	Base Case	Bull Case	Bear Case		Notes
FY2026 Revenue Growth Rate	50.0%		1	-10.0%	Revenue declining in FY2025; stabilisation +
FY2027 Revenue Growth Rate	80.0%		2	10.0%	Quantum advantage demonstrations driving ente
FY2028 Revenue Growth Rate	1.20		2.50	20.0%	Multi-qubit systems reaching commercial-grade
FY2029 Revenue Growth Rate	1		2	30.0%	Hyperscaler + pharma / finance contract wins

RGTI — Assumptions

Gross Margin % — FY2028	55.0%	68.0%	30.0%	
Gross Margin % — FY2029	62.0%	72.0%	35.0%	
Gross Margin % — FY2030	65.0%	74.0%	40.0%	
Gross Margin % — FY2031–35	68.0%	76.0%	45.0%	
Gross Margin % — FY2036–45	70.0%	78.0%	50.0%	
SG&A as % Revenue — FY2026	2.20	1.40	3.10	FY2025 SGA/Rev=358%; absolute SGA ~\$25M semi-
SG&A as % Revenue — FY2027	1.10	65.0%	2.40	
SG&A as % Revenue — FY2028	58.0%	38.0%	1.40	
SG&A as % Revenue — FY2029	35.0%	22.0%	85.0%	
SG&A as % Revenue — FY2030	24.0%	16.0%	55.0%	
SG&A as % Revenue — FY2031–35	17.0%	12.0%	35.0%	
SG&A as % Revenue — FY2036–45	12.0%	8.0%	26.0%	
R&D as % Revenue — All Years	45.0%	35.0%	55.0%	FY2025 R&D/Rev=866%; declines as rev scales
D&A as % Revenue — All Years	45.0%	38.0%	52.0%	FY2025 DA/Rev=114%; reflects quantum hardware
CapEx as % Revenue — All Years	15.0%	10.0%	20.0%	FY2025=263% of tiny revenue; quantum system c
Stock-Based Comp as % Revenue	12.0%	10.0%	15.0%	FY2025 SBC=\$17.6M; normalising as rev grows
Change in NWC as % Rev Change	3.0%	2.0%	5.0%	
Tax Rate (Cash)	0	0	0	\$132M DTA; NOL shields all near-term income
Tax Rate (Terminal / WACC)	21.0%	21.0%	21.0%	US statutory rate

D. WACC ASSUMPTIONS					
Assumption	Base Case	Bull Case	Bear Case	Notes	
Risk-Free Rate	4.3%		4.0%	4.6%	10-yr US Treasury May 2026
Equity Risk Premium	5.5%		5.0%	6.0%	Damodaran US ERP
Beta (Levered)	2.50		2	3	Deep-tech pre-revenue; quantum binary outcome
Size / Illiquidity Premium	3.5%		2.0%	5.0%	
Cost of Equity					Formula: Rf + Beta×ERP + Size
Pre-Tax Cost of Debt	5.0%		4.5%	6.5%	No current debt; modelled for future capital
Weight of Equity	90.0%		95.0%	85.0%	Equity-funded; may issue convertibles for qua
Weight of Debt					Formula: 1 – Weight of Equity
WACC					Formula: Ke×We + Kd×(1–t)×Wd

E. TERMINAL VALUE ASSUMPTIONS					
Assumption	Base Case	Bull Case	Bear Case	Notes	
Terminal Growth Rate (Gordon Growth)	3.5%		4.5%	2.0%	Quantum-AI platform; long-run GDP+ growth if
Terminal EV/EBITDA Multiple (cross-check)	25		40	8	Quantum platform comps: 20–50× if winner; 5–1
Terminal EBITDA Margin (for EV/EBITDA check)	20.0%		35.0%	5.0%	Requires platform shift; highly binary

F. WACC DECOMPOSITION — Why WACC is high & the tw				
Component	Current Value	Source / Formula	Contribution to WACC	How to Lower It

RGTI — Assumptions

Stage 2 — Break-Even Proof	1.40	1.5%	FCF-positive; quantum-error-correction milest
Stage 3 — Hyperscaler Partnerships	1.10	0.5%	AWS/Azure/GCP embedded quantum layer
Blue Sky — Quantum Category Leader	80.0%	0	De-facto standard for quantum computing infra

RGTI — DCF Model

RGTI — 20-Year Unlevered Free Cash									
Year	FY2025 (Actu	2026	2027	2028	2029	2030	2031	2032	2033
A. REVENUE PROJECTION									
Revenue Growth Rate (Active Scenari	—								
Revenue (\$000s)									
B. INCOME STATEMENT PROJECTION									
Gross Margin %									
Gross Profit (\$000s)									
SG&A as % Revenue									
SG&A (\$000s)									
R&D as % Revenue									
R&D (\$000s)									
EBIT (\$000s)									
EBIT Margin %									
Cash Tax Rate (Active Scenario)									
NOPAT = EBIT × (1 – Tax Rate) (\$000									
C. UNLEVERED FREE CASH FLOW BUILD									
D&A as % Revenue									
(+) D&A (\$000s)									
CapEx as % Revenue									
(–) CapEx + Capitalized Software									
Δ NWC as % Revenue Change									
(–) Change in NWC (\$000s)									
UNLEVERED FCF (\$000s)									
UFCF Margin %									
D. DISCOUNTING (Mid-Year Conventi									
WACC (Active Scenario)									
Discount Period (Mid-Year)	—								
Discount Factor	—								
PV of UFCF (\$000s)	—								
Sum of PV (UFCF) — Years 1–20 (\$000									
E. TERMINAL VALUE (Gordon Growth									
Year 20 UFCF (\$000s)									
Terminal Growth Rate (Active Sce									
WACC (Active Scenario)									
Terminal Value (undiscounted) (\$000									
Terminal Value Discount Factor (									
PV of Terminal Value (\$000s)									
Terminal Value as % of Total Ent									
Terminal Value Cross-Check: EV/EBIT									
Year 20 Revenue (\$000s)									
Terminal EBITDA Margin (Active S									

RGTI — DCF Model

FY2030E Revenue (\$000s)
FY2045E Revenue (\$000s)
FY2026E Gross Margin %
FY2026E EBIT (\$000s)
WACC
Terminal Growth Rate
Sum PV of FCFs (\$000s)
PV of Terminal Value (\$000s)
Enterprise Value (\$000s)
Equity Value (\$000s)
Implied Share Price (\$)

H. SENSITIVITY: Implied Share Pric						
WACC \ TGR →	2.0%	2.5%	3.0%	3.5%	4.0%	4.5%
10%						
12%						
14%						
16%						
18%						
20%						

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Metric	Base	Bull	Bear
Rev 2026			
Rev 2027			

Rev 2045	
UFCF 2026	
UFCF 2027	
UFCF 2028	
UFCF 2029	
UFCF 2030	
UFCF 2031	
UFCF 2032	
UFCF 2033	
UFCF 2034	
UFCF 2035	
UFCF 2036	
UFCF 2037	
UFCF 2038	
UFCF 2039	
UFCF 2040	
UFCF 2041	
UFCF 2042	
UFCF 2043	
UFCF 2044	
UFCF 2045	
PV_UFCF 2026	
PV_UFCF 2027	
PV_UFCF 2028	
PV_UFCF 2029	
PV_UFCF 2030	
PV_UFCF 2031	
PV_UFCF 2032	
PV_UFCF 2033	
PV_UFCF 2034	
PV_UFCF 2035	
PV_UFCF 2036	
PV_UFCF 2037	
PV_UFCF 2038	
PV_UFCF 2039	
PV_UFCF 2040	
PV_UFCF 2041	
PV_UFCF 2042	
PV_UFCF 2043	
PV_UFCF 2044	
PV_UFCF 2045	
Sum PV_UFCF	

RGTI — DCF Model Columns 11-19

RGTI — 20-Year Unlevered Free Cash									
Year	2034	2035	2036	2037	2038	2039	2040	2041	2042
A. REVENUE PROJECTION									
Revenue Growth Rate (Active Scenari									
Revenue (\$000s)									
B. INCOME STATEMENT PROJECTION									
Gross Margin %									
Gross Profit (\$000s)									
SG&A as % Revenue									
SG&A (\$000s)									
R&D as % Revenue									
R&D (\$000s)									
EBIT (\$000s)									
EBIT Margin %									
Cash Tax Rate (Active Scenario)									
NOPAT = EBIT × (1 – Tax Rate) (\$000									
C. UNLEVERED FREE CASH FLOW BUILD									
D&A as % Revenue									
(+) D&A (\$000s)									
CapEx as % Revenue									
(–) CapEx + Capitalized Software									
Δ NWC as % Revenue Change									
(–) Change in NWC (\$000s)									
UNLEVERED FCF (\$000s)									
UFCF Margin %									
D. DISCOUNTING (Mid-Year Conventi									
WACC (Active Scenario)									
Discount Period (Mid-Year)									
Discount Factor									
PV of UFCF (\$000s)									
Sum of PV (UFCF) — Years 1–20 (\$000									
E. TERMINAL VALUE (Gordon Growth									
Year 20 UFCF (\$000s)									
Terminal Growth Rate (Active Sce									
WACC (Active Scenario)									
Terminal Value (undiscounted) (\$000									
Terminal Value Discount Factor (									
PV of Terminal Value (\$000s)									
Terminal Value as % of Total Ent									
Terminal Value Cross-Check: EV/EBIT									
Year 20 Revenue (\$000s)									
Terminal EBITDA Margin (Active S									

RGTI — DCF Model Columns 11-19

FY2030E Revenue (\$000s)
FY2045E Revenue (\$000s)
FY2026E Gross Margin %
FY2026E EBIT (\$000s)
WACC
Terminal Growth Rate
Sum PV of FCFs (\$000s)
PV of Terminal Value (\$000s)
Enterprise Value (\$000s)
Equity Value (\$000s)
Implied Share Price (\$)

H. SENSITIVITY: Implied Share Price

WACC \ TGR →

10%
12%
14%
16%
18%
20%

■■ SCENARIO ENGINE (helper rows – d

MetricRev 2026Rev 2027

RGTI — DCF Model Columns 11-19

Rev 2045
UFCF 2026
UFCF 2027
UFCF 2028
UFCF 2029
UFCF 2030
UFCF 2031
UFCF 2032
UFCF 2033
UFCF 2034
UFCF 2035
UFCF 2036
UFCF 2037
UFCF 2038
UFCF 2039
UFCF 2040
UFCF 2041
UFCF 2042
UFCF 2043
UFCF 2044
UFCF 2045
PV_UFCF 2026
PV_UFCF 2027
PV_UFCF 2028
PV_UFCF 2029
PV_UFCF 2030
PV_UFCF 2031
PV_UFCF 2032
PV_UFCF 2033
PV_UFCF 2034
PV_UFCF 2035
PV_UFCF 2036
PV_UFCF 2037
PV_UFCF 2038
PV_UFCF 2039
PV_UFCF 2040
PV_UFCF 2041
PV_UFCF 2042
PV_UFCF 2043
PV_UFCF 2044
PV_UFCF 2045
Sum PV_UFCF

RGTI — DCF Model Columns 20-22

RGTI — 20-Year Unlevered Free Cash			
Year	2043	2044	2045
A. REVENUE PROJECTION			
Revenue Growth Rate (Active Scenari			
Revenue (\$000s)			
B. INCOME STATEMENT PROJECTION			
Gross Margin %			
Gross Profit (\$000s)			
SG&A as % Revenue			
SG&A (\$000s)			
R&D as % Revenue			
R&D (\$000s)			
EBIT (\$000s)			
EBIT Margin %			
Cash Tax Rate (Active Scenario)			
NOPAT = EBIT × (1 – Tax Rate) (\$000			
C. UNLEVERED FREE CASH FLOW BUILD			
D&A as % Revenue			
(+) D&A (\$000s)			
CapEx as % Revenue			
(-) CapEx + Capitalized Software			
Δ NWC as % Revenue Change			
(-) Change in NWC (\$000s)			
UNLEVERED FCF (\$000s)			
UFCF Margin %			
D. DISCOUNTING (Mid-Year Conventi			
WACC (Active Scenario)			
Discount Period (Mid-Year)			
Discount Factor			
PV of UFCF (\$000s)			
Sum of PV (UFCF) — Years 1–20 (\$000			
E. TERMINAL VALUE (Gordon Growth			
Year 20 UFCF (\$000s)			
Terminal Growth Rate (Active Sce			
WACC (Active Scenario)			
Terminal Value (undiscounted) (\$000			
Terminal Value Discount Factor (			
PV of Terminal Value (\$000s)			
Terminal Value as % of Total Ent			
Terminal Value Cross-Check: EV/EBIT			
Year 20 Revenue (\$000s)			
Terminal EBITDA Margin (Active S			

RGTI — DCF Model Columns 20-22

FY2030E Revenue (\$000s)
FY2045E Revenue (\$000s)
FY2026E Gross Margin %
FY2026E EBIT (\$000s)
WACC
Terminal Growth Rate
Sum PV of FCFs (\$000s)
PV of Terminal Value (\$000s)
Enterprise Value (\$000s)
Equity Value (\$000s)
Implied Share Price (\$)

H. SENSITIVITY: Implied Share Price

WACC \ TGR →

10%
12%
14%
16%
18%
20%

■■ SCENARIO ENGINE (helper rows – d

MetricRev 2026Rev 2027

RGTI — DCF Model Columns 20-22

Rev 2045		
UFCF 2026		
UFCF 2027		
UFCF 2028		
UFCF 2029		
UFCF 2030		
UFCF 2031		
UFCF 2032		
UFCF 2033		
UFCF 2034		
UFCF 2035		
UFCF 2036		
UFCF 2037		
UFCF 2038		
UFCF 2039		
UFCF 2040		
UFCF 2041		
UFCF 2042		
UFCF 2043		
UFCF 2044		
UFCF 2045		
PV_UFCF 2026		
PV_UFCF 2027		
PV_UFCF 2028		
PV_UFCF 2029		
PV_UFCF 2030		
PV_UFCF 2031		
PV_UFCF 2032		
PV_UFCF 2033		
PV_UFCF 2034		
PV_UFCF 2035		
PV_UFCF 2036		
PV_UFCF 2037		
PV_UFCF 2038		
PV_UFCF 2039		
PV_UFCF 2040		
PV_UFCF 2041		
PV_UFCF 2042		
PV_UFCF 2043		
PV_UFCF 2044		
PV_UFCF 2045		
Sum PV_UFCF		